

loss of prestige beginning about 1927—from which it has not entirely recovered—chart reading apparently increased the number of its followers even during the long depression and in the years thereafter. Many sceptics, it is true, are inclined to dismiss the whole procedure as akin to astrology or necromancy, but the sheer weight of its importance in Wall Street requires that its pretensions be examined with some degree of care. In order to confine our discussion within the framework of logical reasoning, we shall purposely omit even a condensed summary of the main tenets of chart reading.¹ We wish to consider only the implications of the general idea that a study confined to past price movements can be availed of profitably to foretell the movements of the future.

Such consideration, we believe, should lead to the following conclusions:

1. Chart reading cannot possibly be a science.
2. It has not proved itself in the past to be a dependable method of making profits in the stock market.
3. Its theoretical basis rests upon faulty logic or else upon mere assertion.
4. Its vogue is due to certain advantages it possesses over haphazard speculation, but these advantages tend to diminish as the number of chart students increases.

1. *Chart Reading Not a Science and Its Practice Cannot Be Continuously Successful.* That chart reading cannot be a science is clearly demonstrable. If it were a science, its conclusions would be as a rule dependable. In that case everybody could predict tomorrow's or next week's price changes, and hence everyone could make money continuously by buying and selling at the right time. This is patently impossible. A moment's thought will show that there can be no such thing as a scientific prediction of economic events under human control. The very "dependability" of such a prediction will cause human actions that will invalidate it. Hence thoughtful chartists admit that continued success is dependent upon keeping the successful method known to only a few people.

¹ For detailed statements concerning the theory and practice of chart reading the student is referred to: R. W. Shabacker, *Stock Market Profits*, B. C. Forbes, New York, 1934; Robert Rhea, "The Dow Theory," *passim*, *Barron's*, New York, 1932; H. M. Gartley, "Analyzing the Stock Market," a series of articles in *Barron's* beginning with the issue of Sept. 19, 1932 and ending with the issue of Dec. 5, 1932. See Appendix Note 69 for a brief statement of the main tenets of the Dow theory.